- Liability in respect of a suit pending in a court of law
  This would become an actual liability if the suit is decided against the firm.
- Liability in respect of a guarantee given for another person
  The firm would be liable to pay the amount if the person for whom the guarantee is given fails to meet his obligation.

Tutorial note

i) Contingent liabilities are not shown in the balance sheet. They are, however, shown as a foot note just below the balance sheet so that the existence of such liabilities may be revealed.

ii) Capital: Capital is money or money's worth contributed by the owner to the business for the purpose of carrying on business. The difference between assets and liabilities is owner's equity = capital contributed + accumulated profits.

12.6 Differences between trial balance and balance sheet

The following are the differences between trial balance and balance sheet:

Basis	Trial balance	Balance sheet
1. Nature	Trial balance is a list of ledger balances on a particular date.	Balance sheet is a statement showing the position of assets and liabilities on a particular date.
2. Purpose	Trial balance is prepared to check the arithmetical accuracy of the accounting entries made.	Balance sheet is prepared to ascertain the financial position of a business.
3. Contents	It is a summary of balances of all accounts – personal, real and nominal accounts.	It is a statement showing the closing balances of only personal and real accounts.
4. Format	The trial balance contains columns for debit balances and credit balances.	The items are grouped as assets and liabilities.
5. Stage	It is prepared before the preparation of final accounts.	It is prepared after preparing trial balance and trading and profit and loss account.
6. Period	It can be prepared periodically, say at the end of the month, quarterly, half yearly, etc.	It is generally prepared at the end of the accounting period.
7. Order	Balances shown in the trial balance need not be in order.	Balances shown in the balance sheet must be in order.
8. Compulsion	Preparation of trial balance is not compulsory.	Preparation of the balance sheet is compulsory in certain cases.

Tutorial note

If a trial balance is not given in the question, trial balance has to be prepared first. If there is a difference in the trial balance, the difference is placed to 'suspense account' and shown in the balance sheet.

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